

Let me go back to the end of 1925 for a moment, to give you the full flavor of what I am talking about. According to the Ibbotson Associates data, a dollar invested in the stock market at the end of 1925, with all dividends reinvested and no taxes and brokerage paid, would have grown to about \$600 today, far above the \$30 from appreciation alone. The difference of \$570 comes from the receipt and reinvestment of that pile of income, swelling the total to the magnificent sum of \$600. An investor who came into the market at the top in 1929 would have had to wait until 1953 before stock prices would have returned to what they cost to purchase. Yet, with income reinvested, break-even would have arrived in 1944, nine years sooner.

Therefore, the role of price in determining total return diminishes steadily in importance as we move from the short run to the long run. The mean annual income return since 1925 has been 4.7 percent a year with a standard deviation of only 1.2 percentage points. The annual appreciation return has averaged 7.1 percent, but with a standard deviation of twenty percentage points. These facts explain why the income turtle puts up such a good race against the appreciation hare. But they also help to explain why the standard deviation of returns tends to shrink with the passage of time.

The long run is a complex, ambiguous, even elusive concept, better in theory than it often is in practice.

Quite aside from the demonstration that volatility matters a lot more in the long run than conventional wisdom would lead us to believe, there is an additional and overwhelmingly important lesson here for investors. Do not simulate equity portfolio returns with the familiar long-term